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Secure Distribution Venture Pvt. Ltd.

WHAT IS DEALER FINANCE?

A COMPREHENSIVE TEXTBOOK & REFERENCE MANUAL FOR FINTECH ROOKIES
Understanding Channel Financing, Inventory Funding, and Anchor-Led Downstream Working Capital Solutions in the Indian Financial Ecosystem

Developed by www.loanbazaaronline.com

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Chapter 1: Product Overview & Historical Evolution of Channel Financing

Dealer Finance, also known as Channel Financing, Distributor Financing, or Inventory Funding, is a highly structured, revolving working capital credit facility designed specifically to fund the downstream segment of a corporate supply chain. In a standard manufacturing or distribution model, the corporate manufacturer (the Anchor) sells goods to a network of distributors, dealers, or stockists on credit terms. The dealers, in turn, sell these goods to retailers or end-consumers. However, this model creates a chronic working capital mismatch: the Anchor wants immediate payments to recycle funds back into manufacturing, while the dealers require time to sell the inventory and generate retail cash flows before they can pay the Anchor.

Dealer Finance resolves this fundamental systemic friction. By integrating a financial institution (a Bank or a Non-Banking Financial Company - NBFC) directly into the downstream commercial pipeline, the dealer can purchase inventory from the Anchor on interest-bearing or subvented credit rails. The financier pays the Anchor immediately upon invoice generation, and the dealer settles the obligation with the financier over an agreed-upon usance period. Unlike traditional bilateral business loans, Dealer Finance is an anchor-led, ecosystem-driven credit solution where the credit underwriting and risk profiling are heavily influenced by the commercial relationship, track record, and strength of the manufacturing Anchor.

The Historical Shift in Trade Credit

Historically, the Indian trade credit landscape relied heavily on informal bilateral credit (deferred payment terms on open accounts) or traditional, rigid bank lines like Cash Credit (CC) and Overdraft (OD). Under the conventional CC/OD framework, dealers were required to pledge primary collaterals (typically real estate or fixed deposits) and submit heavy audited financial statements to secure funding. This process excluded a massive segment of highly active but asset-light MSME distributors, constraining the Anchor's sales velocity and market penetration.

Recognizing these inefficiencies, various Reserve Bank of India (RBI) committees—including the Tandon Committee for financing receivables, the Chore Committee for promoting drawee bill structures, and the K.R. Ramamoorthy Committee for bill discounting practices—urged the financial sector to move toward self-liquidating, transaction-backed credit instruments. The real transformation, however, arrived with the digital lending revolution and the integration of Enterprise Resource Planning (ERP) systems via APIs. Modern Dealer Finance has evolved from manual, physical bill-of-exchange discounting into automated, paperless, real-time credit drawdowns triggered the instant an invoice is generated on the Anchor's billing portal.

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Chapter 2: The Tripartite Model & Dealer Finance Structures

The operational architecture of Dealer Finance relies on a synchronized Tripartite Model consisting of three primary economic participants operating within a tightly governed legal and technical workflow. These participants are:

- **The Corporate Anchor (Original Equipment Manufacturer - OEM):** The large, typically credit-strong corporate manufacturer (e.g., Ashok Leyland, Tata Motors, or a major appliance brand) that manufactures the goods, manages the dealer network, establishes the program with partner banks, and uploads the sales invoices.
- **The Dealer / Distributor (The Borrower):** The mid-market enterprise or MSME stockist that purchases inventory from the Anchor, signs the credit agreement with the partner financier, and is legally responsible for repaying the discounted amount along with interest and processing fees.
- **The Financier (Bank / NBFC):** The regulated financial institution (such as Axis Bank, State Bank of India, or Tata Capital) that provides the credit facility, sets up API links with the Anchor's portal, sanctions individual credit limits for authorized dealers, disburses the invoice amount to the Anchor, and collects repayment from the dealer on the maturity date.

Three Primary Variants of Dealer Finance

Depending on the technical infrastructure of the program, the operational relationship between the Anchor and dealer, and the bank's internal credit policy, Dealer Finance programs are structured into three distinct product variants:

1. Supply Bill Discounting (SBD): In this variant, the credit facility is structured around bills of exchange or supply bills generated by the corporate Anchor upon shipping the inventory. The bills are drawn by the Anchor on the dealer, and upon the dealer's explicit digital acceptance (acknowledgment), the partner bank discounts the bill, transferring the funds directly to the Anchor's account.

2. Clean Bill Discounting (CBD): Designed for highly trusted dealer networks with a stellar credit track record, CBD allows the bank to discount invoices directly based on digital invoices generated in the ERP system, without requiring a formal, separate physical bill-of-exchange or Hundi process. The process is entirely frictionless, automated, and executed within a matter of minutes.

3. Hundi Discounting (Traditional Bill Markets): A classical trade finance instrument in India, the Hundi is a traditional negotiable instrument used to document short-term unconditional payment obligations. Under the Hundi variant, the dealer executes a physical or digital Hundi in favor of the Anchor. The bank purchases or discounts this Hundi at a predetermined rate and pays the Anchor, and the dealer pays the bank on maturity.

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Chapter 3: How the Product Structure Works: The Step-by-Step Transaction Loop

To ensure safe credit deployment and absolute transaction integrity, the Dealer Finance workflow is structured as a self-liquidating, closed-loop payment cycle. The partner financier strictly controls the disbursement flow, ensuring that funds are never routed to the dealer's general pool account but are instead paid directly into the Anchor's designated settlement bank account.

The 5-Stage Transaction Flow

The table below details how individual inventory purchases are requested, financed, and repaid in the modern Indian market, mapping the commercial actions to the underlying automated system events:

Stage	Participant Action	Behind-the-Scenes System & API Activity
1. Order & Limit Block	Dealer places an inventory order on the Anchor's ERP portal (or dealership platform).	Anchor's ERP queries the financier's portal via API to verify the dealer's available credit limit and automatically blocks the order value.
2. Invoice & API Upload	Anchor ships the inventory and generates a commercial sales invoice with integrated GST details.	The ERP pushes the digital invoice automatically to the bank's Channel Finance portal via secure webhooks, creating a pending drawdown request.
3. Drawdown & Payment	Dealer reviews the invoice on their mobile app or web portal and confirms/accepts the transaction terms.	Financier's portal runs automated compliance checks (e.g., verifying invoice date and GSTN status), debits the dealer's limit, and pays the Anchor directly (net of any cash discount or margin).
4. Delivery & Aging	Anchor receives the immediate payment and releases the shipment. Dealer takes delivery of the stock.	The loan tenure clock starts. Interest charges are computed on a simple reducing-balance basis starting from the disbursement date (T+0).

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5. Sweep & Repayment	Dealer sells the inventory to retail buyers and prepares for repayment on the due date.	The financier triggers an e-NACH/ACH mandate on the due date, automatically sweeping the repayment (principal plus accrued interest) from the dealer's designated escrow account.

The Mathematical Mechanics of limit Utilization

Financiers do not grant unlimited credit; instead, they establish a master limit for each dealer based on a formal credit appraisal. This master limit is defined as the maximum aggregate exposure the financier can hold at any point. At a granular level, the drawing power (DP) of a dealer's line is governed by the following mathematical formula:

DP = Min [Master Limit, (Current Outstanding Unfinanced Invoices * (1 - Margin))]

Here, the Margin (typically ranging from 10% to 20%) acts as the dealer's upfront cash contribution, ensuring that the dealer has skin in the game and is not borrowing 100% of the cost price. If the master limit is ₹50 Lakhs and a dealer has outstanding unfinanced invoices worth ₹40 Lakhs with a 10% margin requirement, the drawing power is calculated as ₹36 Lakhs (₹40 Lakhs * 0.90). This ensure the lender is always protected against slight stock devaluations or temporary market price volatility.

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Chapter 4: Dealer Eligibility Standards & Credit Underwriting

In traditional commercial lending, credit officers evaluate a borrower primarily on their standalone balance sheet strength, net worth, and physical asset collateral. However, in Dealer Finance, this framework is inverted. Because the dealer is purchasing inventory from a highly reputable, credit-mighty corporate Anchor, the risk of non-performance or supply chain disruption is extremely low. Therefore, financiers focus on the transaction dynamics, operational track record, and the strength of the relationship between the dealer and the Anchor.

Common Credit Underwriting Parameters

To qualify for a revolving Dealer Finance program, a dealer must typically meet the following standard institutional benchmarks:

- **Dealership Vintage:** Lenders look for a minimum of 2 to 3 years of active, uninterrupted business dealings with the specific corporate Anchor, demonstrating relationship stability and consistent market placement.
- **Minimum Annual Turnover:** Typically, the dealer's business must report an annual sales turnover of at least ₹1 Crore to ₹2 Crore, verified through GST returns and audited financial statements.
- **Lifting Volume & Payment History:** The dealer's purchase ledger in the Anchor's books (called the lifting statement) is analyzed to verify the volume of goods purchased, stock rotation cycles, and a clean history of zero payment defaults to the OEM.
- **Bureau Credit Score:** A clean commercial bureau score (CIBIL or CRIF High Mark) is mandatory. For proprietorships or partnerships, the personal CIBIL score of the promoters must exceed 700-750, with no history of write-offs or restructuring.
- **Debt Service Coverage Ratio (DSCR):** For structured overdrafts or long-tenure lines, financiers ensure that the dealer's net operating cash flow can comfortably cover interest obligations, looking for an interest coverage ratio (ICR) of at least 1.5x.

The Analytical Pivot: Underwriting on lifting Statements

The cornerstone of dealer underwriting is the analysis of the dealer's lifting statement over the preceding 12 to 24 months. By parsing this transaction ledger, credit algorithms calculate three key risk indicators:

• **Seasonality and Peak lifting Factor:** Many consumer-facing industries experience heavy festive spikes (e.g., Diwali or harvest seasons). Lenders evaluate whether the dealer has sufficient capital buffers and inventory storage capacity to handle a sudden 2x or 3x spike in invoice volume during peak months.

• **Inventory Turnover Days (Days Stock-in-Hand):** Computed by dividing average inventory by cost of goods sold, this metric measures how quickly a dealer converts physical stock into cash. A healthy stock-in-hand period ranges from 15 to 45 days. Any period exceeding 60 days suggests potential inventory obsolescence and higher credit risk.

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• **Concentration of Sales:** If a dealer relies entirely on a single retailer or customer to liquidate their inventory, they are highly exposed to a single-point repayment default. Underwriters prefer a diversified downstream retail network to spread the repayment risk.

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Chapter 5: Legal Framework, Security & Documentation Requirements

Due to the revolving and high-velocity nature of Dealer Finance transactions, traditional physical collateral is typically substituted with structured corporate assignments, corporate subvention, and secure cash-sweep mechanisms. The legal enforceability of these contracts is heavily anchored in Indian statutory frameworks, ensuring swift legal remedy for the financier in the event of default.

The Assignment of Payments & Security Over dealer Margins

A critical legal guardrail in Dealer Finance is the assignment over payments. When a dealer enters a program, they sign a tripartite agreement with the partner bank and the Anchor. Under this agreement, the dealer assigns and charges all their financial rights—including accrued dealer commissions, volume-based incentive payouts, and security deposits held by the Anchor—directly to the financier. In the event of a dealer default, the Anchor is legally bound to directly remit these deposits and accrued commission balances to the financier's account to liquidate the outstanding debt. This is structured strictly in accordance with Section 130 of the Transfer of Property Act, 1882, which governs the transfer of actionable claims.

Key Security and Document Requirements

To establish a legally binding and functional Dealer Finance line, the borrower must submit and execute the following instruments:

- **Composite Loan Application & Agreement:** The standard master agreement defining credit limits, margins, interest rates, penalty rates, and tenure structures, executed under appropriate stamp duty regulations in the state of execution.
- **Tripartite Escrow Agreement:** An agreement signed by the Dealer, the Anchor, and the Financier, establishing a dedicated, locked Escrow/No-Lien collection account. All sales collections received by the dealer from downstream retailers must be routed directly into this account to facilitate automated sweeps on due dates.
- **Power of Attorney (PoA) in Favor of Financier:** A registered PoA authorizing the bank to access and debit the dealer's accounts and directly verify accounts receivable balances with the Anchor.
- **Personal Guarantees of Promoters:** A joint and several personal guarantee executed by the proprietor, partners, or directors of the dealership, ensuring that they remain personally liable for the corporate debt in the event of insolvency.
- **CERSAI Registration (Mandatory):** To prevent fraudulent dual financing (such as a dealer borrowing against the same inventory from two different banks), financiers are mandated to register the charge over the book debts and inventory on the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) portal within 10 days of sanctioning the line.

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Chapter 6: Commercial Mechanics, Unit Economics & Tenures

The economic viability of Dealer Finance relies on thin-margin, high-turnover mechanics. Because these credit lines are self-liquidating and back real physical transactions, the tenure is strictly aligned with the industry's inventory rotation cycle. The pricing of the credit is heavily influenced by the credit rating of the manufacturing Anchor corporate, allowing the dealer to borrow at rates substantially cheaper than standalone MSME business loans.

Product Tenures & Pricing Dynamics

The standard tenure for a Dealer Finance drawdown ranges from 30 to 60 days, extending up to 90 days for certain heavy capital goods (such as medium and heavy commercial vehicle dealerships). This tenure is designed to match the typical period required for a dealer to receive, display, sell, and collect payment for the inventory.

In terms of pricing, interest rates are structured dynamically based on the credit grading of the Anchor. Lenders categorize programs into distinct pricing bands:

- **Bank Rail (Anchor-Led Prime):** Priced at 7.5% to 9.5% p.a., typically offered by large public or private sector banks to dealers of AAA or AA+ rated Anchors.
- **NBFC Rail (Fintech/Structured):** Priced at 9.0% to 12.0% p.a., providing greater operational flexibility, faster digital onboarding, and customized drawdowns for mid-tier Anchors.

This represents a massive saving compared to traditional unsecured business loans in India, which carry interest rates of 15% to 24% p.a., making Dealer Finance a vital tool for cost reduction.

The Economics of Upfront Cash Discounts

A critical financial strategy that drives the adoption of Dealer Finance is the cash discount mechanism. To encourage upfront payments, almost all major manufacturers offer a cash discount (typically 1.5% to 3.0%) for payments cleared within 2 to 3 days of invoice generation. If a dealer pays the manufacturer using their own capital or through a Dealer Finance line, they secure this discount upfront.

Mathematically, this upfront discount represents a substantial annualized yield. For example, if a manufacturer offers a 2.0% cash discount for payment on Day 3 instead of Day 45, the dealer effectively earns a 2.0% return over a 42-day credit period. Annualizing this rate (using a 365-day year) yields an effective annualized saving rate of 17.38%:

Annualized Cash Discount Rate = (Discount % / (1 - Discount %)) * (365 / (Credit Days - Early Payment Days))

If the dealer finances this transaction using a bank credit line at 9.0% p.a., their net interest cost for the 42 days is only 1.03%. By borrowing at 9.0% to pay early and secure a 2.0% cash discount, the dealer pocket a massive net financial gain of approximately 0.97% of the total transaction value, while maintaining a continuous, uninterrupted flow of inventory. This simple credit arbitrage is the core driver of dealer finance popularity in India.

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Chapter 7: Suitable Industries, Market Sizing & Business Profiles

Dealer Finance is not a universally applicable product; it is best suited for high-turnover, capital-intensive industries characterized by structured distribution networks, high product value, and standardized inventory rotation cycles. The prime segments utilizing Dealer Finance in India include:

- **Automotive (OEM Dealerships):** Dealer financing is a cornerstone of the automotive industry. Passenger vehicle, commercial vehicle, and two-wheeler dealers require massive capital to maintain stock levels. The vehicles themselves function as highly standardized, easily trackable security assets.
- **Consumer Electronics & Durables:** With rising consumer aspirations, brands like LG, Samsung, and Blue Star distribute heavy volumes of high-ticket appliances (ACs, smart TVs). Under festive cycles, dealers must stock up on massive inventory weeks in advance, making short-term dealer lines essential.
- **Fast-Moving Consumer Goods (FMCG):** FMCG networks operate on thin retail margins but exceptional stock velocity. Stockists must maintain an uninterrupted inventory of essential groceries and personal care products, where stockouts directly lead to market share loss.
- **Agri-Inputs (Fertilizers & Seeds):** Agri-input distribution is highly seasonal, with demand concentrated heavily around the Kharif and Rabi sowing seasons. Dealers must stock heavy fertilizer volumes months before sales occur, relying on 60-to-90 day usance dealer lines to manage cash flows.
- **Pharmaceuticals:** Major pharmaceutical stockists manage thousands of stock-keeping units (SKUs) to supply hospitals and pharmacies, requiring continuous, automated working capital to ensure immediate medicine availability.

Supply Chain Performance & Market Metrics

The real-world impact of supply chain finance is validated by extensive empirical data from institutional banking studies. According to research on Axis Bank's supply chain finance practices, the adoption of structured digital channel financing creates a highly robust positive impact on the sales performance of dealer networks. A key performance indicator identified in the study is a solid **14% average increase in dealer purchases (lifting volume)** within one cycle of onboarding onto a digital supply chain finance program. This volume expansion occurs because dealers are no longer constrained by their standalone cash reserves or rigid bilateral bank credit limits. Furthermore, the study recorded an average program utilization rate of 65%, an early payment release Turnaround Time (TAT) of 24 to 48 hours via API-based approvals, and an average financing cost reduction of 1.8% compared to traditional commercial overdraft lines. These metrics highlight how integrating digital finance directly into supply chains boosts retail velocity and strengthens the collaboration between manufacturing Anchors and their distribution networks.

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Chapter 8: Key Strategic Advantages and Limitations

To fully master the strategic utility of Dealer Finance, fintech professionals must understand the balanced trade-offs, advantages, and structural limitations of this product across all three involved participants.

Key Advantages

• **For Dealers: Collateral-Free Affordability & Continuous Stocking**
Dealers gain immediate access to low-cost, revolving working capital without being forced to pledge personal real estate or primary business assets as collateral. By utilizing the credit arbitrage of the corporate Anchor's rating, they borrow at prime interest rates and can capitalize on manufacturer cash discounts (often 2.0% early-payment discounts) that comfortably outstrip the interest cost of the bank line. This ensures they can maintain high stock-in-hand levels, mitigate peak-season demand shocks, and completely avoid stockouts that would damage their local market share.

• **For Corporate Anchors: Instant Receivables & Zero Balance Sheet Drag**
The manufacturing corporate receives immediate, un-delayed cash payments for its sales invoices, typically within 24 to 48 hours of shipment. This instantly improves their Days Sales Outstanding (DSO), accelerates cash flow recycling back into production, and completely shifts the credit and default risk of the dealer network onto the partner financier. It enables the Anchor to aggressively scale its distribution network and increase sales volumes without expanding its own balance sheet receivables drag.

• **For Financiers: Transaction-Backed & Low-Default Credit Books**
Banks and NBFCs can deploy high-velocity, transaction-backed credit that is naturally self-liquidating. Because funds are paid directly to the Anchor and repayments are swept via e-NACH from locked escrow accounts, the risk of diversion of funds is zero. Furthermore, by relying on the transaction data and tripartite fallback covenants, lenders maintain low portfolio delinquency rates, typically keeping credit losses under 1.0% in prime corporate programs.

Product Limitations & Strategic Risks

• **For Dealers: The Subvention Trap & Strict Escrow Controls**
The primary risk for dealers is the risk of over-leveraging and default. Because drawdowns are automated and frictionless, dealers may over-order inventory, leading to severe cash-flow traps if stock rotation slows. Furthermore, under locked tripartite agreements, all sales collections are swept directly by the financier. This means any drop in sales velocity immediately deprives the dealer of operational cash to pay salaries, rent, and local overheads, forcing them into short-term liquidity distress.

• **For Corporate Anchors: Recourse Burden & Reputational Liability**
While non-recourse structures are highly preferred, many banks require corporate Anchors to agree to partial or full recourse (often structured as First Loss Default Guarantees - FLDG) to underwrite smaller or newer dealers. Under recourse arrangements, if a dealer defaults, the corporate Anchor must buy back the outstanding receivables, bringing the credit risk back onto its own balance sheet. Additionally, aggressive debt recovery by partner lenders against a prominent dealer can severely damage the Anchor's reputation and legal standing within its distribution channel.

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Chapter 9: Detailed Real-World Case Study (Calculations in INR)

To bridge the gap between financial theory and real-world supply chain treasury operations, we analyze a detailed mathematical case study of an automotive spare parts dealer leveraging an anchor-led Dealer Finance program in Indian Rupees (₹).

The Commercial Scenario

Radha Krishna Auto Spares, a prominent distributor of commercial vehicle parts based in Pune, purchases a massive consignment of engine blocks, nozzles, and transmission gears from a major commercial automaker, Apex Trucks India Ltd. (the Corporate Anchor, AAA-rated). The invoice value generated on Apex Trucks' ERP portal is exactly **₹1,00,00,000 (₹1 Crore), inclusive of GST.** To fund this purchase, Radha Krishna Auto Spares utilizes its pre-approved, revolving Dealer Finance credit line offered by a partner NBFC.

Underlying Program Parameters

The transaction is structured under the following standard commercial terms:

- **Financier Interest Rate:** 9.0% per annum (computed as simple interest on a 365-day year basis).
- **Tenure / Credit Period:** 60 days (usance period).
- **Dealer Margin (Skin in the Game):** 10% of the invoice value (to be paid upfront by the dealer as their cash contribution).
- **Financing Advance Rate:** 90% of the invoice value (funded by the partner NBFC).
- **Upfront Processing Fee:** 0.1% of the funded principal (subject to 18% GST).
- **Anchor Cash Discount:** A 1.5% upfront cash discount offered by Apex Trucks if payment is settled within 3 days of billing.

Step-by-Step Financial Calculations & Disbursement Flow

The operational and mathematical sequence of the transaction is executed as follows:

Step 1: Total Financing Principal Approved
The invoice value is ₹1,00,00,000. With a 10% dealer margin requirement, Radha Krishna Auto Spares must deposit ₹10,00,000 from its own reserves into the escrow account. The remaining 90% is financed by the NBFC.
• Financed Principal (Loan Amount) = ₹1,00,00,000 * 90% = ₹90,00,000

Step 2: Simple Interest Component for 60 Days
Interest is calculated based on simple interest on the advanced principal over the 60-day usance period:
• Interest = Financed Principal * Interest Rate * (Tenure / 365)
• Interest = ₹90,00,000 * 9.0% * (60 / 365) = ₹1,33,151

Step 3: Processing Fee and GST Calculation
The NBFC charges a nominal 0.1% processing fee on the advanced loan principal, which attracts 18%

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GST:

• Upfront Processing Fee = ₹90,00,000 * 0.1% = ₹9,000
• GST on Processing Fee (18%) = ₹9,000 * 18% = ₹1,620
• Total Upfront Fees = ₹9,000 + ₹1,620 = ₹10,620 (debited upfront from the dealer's margin account)

Step 4: The Anchor Cash Discount and Net Payout

Because the NBFC pays Apex Trucks on Day 2 (within the 3-day discount window), Radha Krishna Auto Spares qualifies for the 1.5% cash discount on the total invoice value.

• Upfront Cash Discount = ₹1,00,00,000 * 1.5% = ₹1,50,000
• Net Billing Amount due to Apex Trucks = ₹1,00,00,000 - ₹1,50,000 = ₹98,50,000
• Net Upfront Payout from Lender to Apex Trucks = ₹90,00,000 (Financed Principal) - ₹1,50,000 (Discount Credit) = ₹88,50,000.

The lender remits ₹88,50,000 directly to Apex Trucks. Apex Trucks also sweeps the dealer's ₹10,00,000 margin, receiving the full net billing value of ₹98,50,000 upfront.

Step 5: Net Financial Gain from Arbitrage

We evaluate whether the dealer benefited by utilizing the credit line to secure the cash discount:

• Total Cash Discount Secured = ₹1,50,000
• Total Financing Cost (Interest + Processing Fee + GST) = ₹1,33,151 + ₹10,620 = ₹1,43,771
• Net Savings (Profit from Credit Arbitrage) = ₹1,50,00,000 - ₹1,43,771 = ₹6,229

Even after covering all interest and fees over 60 days, Radha Krishna Auto Spares pocketed a net saving of ₹6,229, while enjoying 60 days of frictionless liquidity and maintaining maximum stock levels!

Step 6: Maturity & Repayment Sweep on Day 60

Over the 60-day credit period, Radha Krishna Auto Spares sells the engine components to local garages, accumulating cash in its locked tripartite escrow account. On Day 60, the NBFC executes an e-NACH mandate and sweeps the outstanding principal and accrued interest from the escrow account:

• Total Sweep Amount = ₹90,00,000 (Principal) + ₹1,33,151 (Interest) = ₹91,33,151

Upon successful sweep, the transaction is closed, the credit limit of ₹90,00,000 is fully restored, and the dealer is ready to trigger the next inventory drawdown.

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Chapter 10: Fintech Rookie Practice Examination

This chapter contains ten highly rigorous, scenario-based multiple-choice and analytical test questions designed to evaluate a finance rookie's absolute understanding of Dealer Finance product structures, tripartite agreements, credit underwriting, legal documentation, and commercial mathematics in the Indian ecosystem. Comprehensive answers and rationales are provided for each question.

Question 1 (Multiple Choice):
Under a standard Dealer Finance (Channel Financing) program, which party acts as the borrower and is legally responsible for repaying the loan principal and interest to the financier?

A) The Corporate Anchor / Original Equipment Manufacturer (OEM)
B) The Retail Consumer who purchases from the local store
C) The Dealer / Distributor who purchases the inventory from the OEM
D) The GST Network (GSTN) as a sovereign guarantor

Answer & Rationale:
Correct Option: C. In a Dealer Finance facility, the credit line is sanctioned to the dealer/distributor as the primary borrower. While the program is initiated and backed by the corporate Anchor's commercial strength, the legal liability of repayment rests solely with the dealer.

Question 2 (Multiple Choice):
Under Section 130 of the Transfer of Property Act, 1882, how do financiers secure their exposure in a Dealer Finance program without demanding physical collaterals like land or buildings?

A) By taking physical possession of the dealer's business premises and locking the gates daily.
B) Through an assignment over actionable claims, allowing the bank to directly claim security deposits and accrued commissions held by the OEM in the event of default.
C) By demanding a 100% upfront gold pledge equivalent to the credit limit.
D) By forcing the dealer's downstream retail customers to sign individual promissory notes.

Answer & Rationale:
Correct Option: B. Financiers utilize the assignment of payments (under Section 130). This legal tripartite covenant ensures that if the dealer defaults, the corporate Anchor must directly remit the dealer's accumulated security deposits, volume commissions, and incentives to the financier to liquidate the debt.

Question 3 (Multiple Choice):
Why are financiers in India legally mandated to register a charge over funded inventory and book debts on the CERSAI portal, and what is the statutory window for this filing?

A) To calculate annual GST collections; must be filed within 30 days.
B) To verify the personal income tax returns of the dealer; must be filed within 45 days.
C) To prevent fraudulent dual financing where a dealer borrows against the same inventory from multiple banks; must be filed within 10 days of sanction.

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D) To obtain a direct sovereign guarantee from the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE); must be filed within 24 hours.

Answer & Rationale:

Correct Option: C. Under RBI guidelines, charge registration on CERSAI is mandatory within 10 days to prevent systemic fraud. If a dealer tries to pledge the same inventory or receivables to multiple financiers, the CERSAI registry immediately flags the pre-existing charge, protecting the banking system.

Question 4 (Analytical Calculation Question):

A fertilizer dealer is offered a 2.0% cash discount by a chemical manufacturer for settling an invoice within 3 days instead of the standard 45-day credit period. What is the annualized yield of this cash discount (assume a 365-day year)?

Answer & Rationale:

• Step 1: Credit Days saved = 45 - 3 = 42 days.

• Step 2: Annualized Discount Rate = (Discount % / (1 - Discount %)) * (365 / Credit Days saved)

• Step 3: Rate = (0.02 / 0.98) * (365 / 42) = 0.020408 * 8.69047 = 17.73% per annum.

Rationale: The annualized yield of securing a 2.0% discount early is a staggering 17.73%. If the dealer funds this early payment using a bank dealer finance line at 9.5% p.a., they generate a highly profitable credit arbitrage of 8.23% (17.73% - 9.5%) on their working capital.

Question 5 (Multiple Choice):

According to empirical findings on Axis Bank's supply chain finance practices, what was the average growth recorded in dealer purchases (lifting volume) following their integration into digital channel financing programs?

A) A decline of 5% due to high interest rates

B) A marginal increase of 2%

C) An increase of 14%

D) An increase of 50% backed by government subsidies

Answer & Rationale:

Correct Option: C. The Axis Bank supply chain finance study recorded a healthy 14% average increase in dealer purchase volumes. Digital channel financing empowers dealers by releasing immediate liquidity on the back of the Anchor's rating, removing capital bottlenecks and enabling them to lift higher inventory volumes.

Question 6 (Multiple Choice):

Which of the following is NOT a standard credit underwriting metric used by a bank's automated decision engine to assess a dealer's eligibility for Channel Financing?

A) Relationship vintage with the corporate Anchor (typically preferring >2-3 years)

B) Personal credit bureau score of the dealership's promoters (preferring >700-750)

C) Historical lifting statement and payment track record with the OEM

D) Total market value of the dealer's residential and commercial real estate portfolio

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Answer & Rationale:

Correct Option: D. Unlike traditional commercial loans, which are highly collateral-dependent, Dealer Finance is a transaction-backed, anchor-led facility. While promoter guarantees are taken, banks do not require extensive real estate collateralization to approve credit limits, relying instead on relationship vintage, lifting velocity, and escrow controls.

Question 7 (Descriptive Scenario Question):

An FMCG distributor has a ₹30 Lakhs master limit with a 15% margin requirement. They have ₹20 Lakhs of unfinanced invoices outstanding. The dealer wants to trigger a new drawdown for a ₹10 Lakh invoice. Calculate their available Drawing Power (DP).

Answer & Rationale:

• Step 1: Total outstanding unfinanced invoices including the new invoice = ₹20 Lakhs + ₹10 Lakhs = ₹30 Lakhs.

• Step 2: Applying the 15% margin: Net eligible drawing value = ₹30 Lakhs * (1 - 0.15) = ₹30 Lakhs * 0.85 = ₹25.5 Lakhs.

• Step 3: Compare with Master Limit: DP = Min [Master Limit (₹30 Lakhs), Net eligible value (₹25.5 Lakhs)] = ₹25.5 Lakhs.

• Step 4: The dealer's available Drawing Power is exactly ₹25.5 Lakhs. Since they must contribute the remaining 15% (₹4.5 Lakhs) as their cash margin, the bank will advance ₹25.5 Lakhs, which is within their ₹30 Lakhs master limit.

Question 8 (Multiple Choice):

What is the function of a tripartite escrow agreement in a structured Dealer Finance program, and how does it mitigate the 'diversion of funds' risk?

A) It allows the dealer's promoters to withdraw cash for personal real estate investments.

B) It mandates that all sales revenues generated by the dealer must flow directly into a locked collection account from which the lender sweeps repayments on due dates, ensuring cash is not diverted to other lenders.

C) It forces the partner bank to guarantee 100% of the dealer's retail sales profits.

D) It allows the corporate Anchor to directly manage the dealer's daily payroll and employee hiring.

Answer & Rationale:

Correct Option: B. The tripartite escrow agreement establishes a locked cash-flow sweep mechanism. All retail collections flow directly into the escrow account, and on due dates, the financier sweeps the exact loan repayments, virtually eliminating the risk of the dealer diverting cash to fund other operations or clear other debts.

Question 9 (Multiple Choice):

Under what legal framework is the assignment of receivables and actionable claims executed in Indian trade finance programs?

A) Section 138 of the Negotiable Instruments Act, 1881

B) Section 130 of the Transfer of Property Act, 1882

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C) Section 43B(h) of the Income Tax Act, 1961
D) Section 194A of the Income Tax Act, 1961

Answer & Rationale:
Correct Option: B. While Section 138 of the NI Act governs check bouncing and Section 43B(h) governs tax deductions for MSME payments, the formal assignment of receivables and actionable claims as security is legally executed under Section 130 of the Transfer of Property Act, 1882.

Question 10 (Analytical Scenario Question):
A heavy machinery dealer experiences a sudden slowdown in retail sales. Due to the locked tripartite escrow, the bank sweeps ₹15 Lakhs on Day 45 to clear a maturing drawdown. The dealer is now unable to pay their monthly staff salaries. Analyze this risk.

Answer & Rationale:
This represents the classic liquidity trap of locked-escrow dealer financing. While the lender is fully secured and the loan is successfully repaid on Day 45, the automated, non-discretionary cash sweep drains the dealer's liquid cash reserves when stock velocity slows. To mitigate this risk, the dealer must maintain an independent cash buffer outside the escrow system and carefully align their inventory lifting rate with actual retail sales speed.

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